

PLANET LABS PBC

NYSE: PL | Space & Geospatial Intelligence — Earth Observation / Satellite Imagery & Analytics

RATING

REDUCE

Conviction: Medium

12M Target: \$34.0

Downside: -21.2% vs CMP

Horizon: 12 months

MARKET DATA

CMP (03-Jun-26)	\$43.13
Market Cap	\$15.37 Bn
Enterprise Value	\$15.29 Bn
52-Week Range	\$3.76 - \$51.76
Shares Outstanding	356.4 M
P/E (TTM)	n/a (loss)
P/S (TTM) / Fwd P/S	50.3x / 35.9x
P/B	85.6x
EV/Sales	49.7x
Book Value / sh	\$0.56
Net Cash	\$0.18 Bn
Beta (5Y)	1.91
Street Target (11 an.)	\$35.50 (Buy)

Investment thesis (one line): Real profitability inflection & defense backlog — but a 50x-sales price already discounts flawless execution.

Sector: Space / Geospatial Intelligence **Sub-sector:** Earth Observation & Satellite Imagery **FY-end:** 31 Jan

Report date: 03 June 2026 **Analyst:** Senior Equity Research — Global Space & Frontier Tech

Data sourcing: All financial figures transcribed from stockanalysis.com (fetched 03-Jun-2026). Qualitative inputs: Q4 FY2026 results (19-Mar-2026), earnings call & company releases.

Note: PL reports a 31-Jan fiscal year. FY2026 = year ended 31-Jan-2026. Q1 FY2027 results are due 04-Jun-2026 (after this note's date).

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Profitability inflection is real, not cosmetic:** FY2026 delivered Planet's first-ever full-year non-GAAP profit (Adj. EBITDA +\$15.5M vs losses prior) and first positive free cash flow (+\$52.9M; +\$57.7M on stockanalysis' definition) on \$307.7M revenue (+25.9% YoY). Operating cash flow swung to +\$134.4M from -\$14.4M. This is a genuine unit-economics turn after a decade of cash burn.
- **Reason 2 — Sovereign defense backlog underwrites multi-year visibility:** A EUR240M Germany agreement, a nine-figure Sweden deal and the \$230M JSAT/Pelican contract drove RPO +106% YoY to \$852M and backlog +79% to >\$900M. With 98% of end-of-period ACV recurring and Defense & Intelligence +50% YoY, the revenue base is increasingly contracted and sticky (6-12 month visibility on >30% of RPO).
- **Reason 3 — Optionality from next-gen fleet & AI:** Pelican (30cm-class, up to 30 revisits/day, on-orbit NVIDIA AI inference) and Tanager (hyperspectral) constellations open higher-value tasking, methane/carbon and analytics markets. R&D tie-ups with Google (in-space compute) and NVIDIA (100x processing speed-ups) are early-stage but extend the data moat.
- **Near-term catalyst (6-12 months):** Q1 FY2027 print on 04-Jun-2026 and FY2027 guidance execution (\$415-440M, +39% at midpoint; Adj. EBITDA breakeven-to-\$10M); first operational Tanager hyperspectral satellites; potential additional sovereign / SHIELD IDIQ awards.
- **Biggest structural risk — valuation, not the business:** At ~50x trailing sales and ~86x book, the stock prices in years of flawless 30%+ growth. The 11-analyst consensus target (\$35.50) sits ~18% BELOW the CMP. Any growth wobble, sovereign-deal lumpiness, or risk-off rotation in high-multiple space names triggers sharp de-rating.

SECTION 3 — BUSINESS OVERVIEW

- **What it does:** Planet operates the world's largest fleet of Earth-observation satellites, imaging the entire landmass daily. It sells imagery + analytics primarily as recurring data subscriptions (a 'data-as-a-service' model) rather than one-off image sales — >90% of revenue is subscription/recurring; 98% of end-of-period ACV is recurring.
- **Product lines:** (i) PlanetScope — ~daily global monitoring via the Dove/SuperDove flock; (ii) SkySat — high-resolution tasking; (iii) Pelican — next-gen 30cm-class very-high-res tasking with on-orbit AI (rolling out); (iv) Tanager — hyperspectral (methane/CO₂, materials) launching FY2027; plus the Planet Insights Platform (analytics/AI layer).
- **End markets:** Defense & Intelligence (largest, +50% YoY in FY2026 — the growth engine); Civil Government (flat YoY; agencies, mapping, disaster response); Commercial (down YoY; agriculture soft, offset by energy). Mix is shifting decisively toward sovereign/defense customers.
- **Customers & visibility:** Governments of Germany, Sweden, the US (NGA/SHIELD), and partners such as SKY Perfect JSAT. ~85% of ACV is annual/multi-year (down from prior periods as large, shorter-term government contracts grow). RPO \$852M / backlog >\$900M provide multi-year visibility.
- **Recent strategic developments (last 12 months):** EUR240M Germany Satellite Services deal; nine-figure Sweden agreement; \$230M JSAT Pelican build-and-operate contract; four AI-enabled defense awards; Google 'SunCatcher' in-space-compute R&D; NVIDIA processing collaboration; 40 satellites launched (incl. four Pelican). Company will stop reporting customer count from FY2027.
- **Ownership & structure:** 2021 SPAC listing (dMY Technology IV). Founder-led with a dual-class structure (Class B super-voting shares concentrate control with co-founders). Institutions own ~61.2%, insiders ~7.7% economic; float ~293.9M shares.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** Geospatial imagery analytics is ~\$12.1B (2025) heading to ~\$18.6B by 2030 at ~8.9% CAGR (MarketsandMarkets); AI-led definitions are far larger/faster (Fortune BI: to ~\$110B by 2030 at ~32% CAGR). Satellite-based Earth observation alone ~\$4.3B (2025) -> ~\$6.3B by 2030 (~7.9% CAGR, Mordor).
- **Policy tailwinds:** European rearmament (NATO spending push), Ukraine-driven intelligence demand, data-sovereignty mandates (governments wanting dedicated/in-country capacity), AI's appetite for proprietary training data, and climate/methane monitoring regulation — all structurally favour daily, global, sovereign-friendly imagery.
- **Headwinds:** Government budget/appropriations timing risk, very long enterprise sales cycles, intense capital intensity (constant fleet replenishment), and falling per-image prices as supply of smallsat imagery expands.
- **Moat — Scale: STRONG.** Largest daily-imaging fleet + a ~decade global image archive (hard to replicate; valuable AI training corpus).
- **Moat — Switching costs: MODERATE.** Recurring subscriptions, API/workflow integration and historical-archive lock-in raise stickiness, but large customers can multi-source.
- **Moat — Pricing power: WEAK-MODERATE.** Commodity imagery prices are deflationary; pricing power sits in analytics/sovereign dedicated-capacity deals, not raw pixels.
- **Value-chain position:** Vertically integrated — designs/builds/operates its own satellites (upstream) AND sells data + analytics/solutions (downstream), increasingly moving up-stack into AI-enabled insights.

Top competitors — Earth observation peers (stockanalysis.com, 03-Jun-2026; TTM figures):

Company	Ticker	CMP (\$)	Mkt Cap	TTM Rev (\$M)	ROCE
Planet Labs	PL	43.13	\$15.37 Bn	307.7	-11.9%
BlackSky Tech	BKSY	37.48	\$1.39 Bn	97.8	-16.6%

Company	Ticker	CMP (\$)	Mkt Cap	TTM Rev (\$M)	ROCE
Spire Global	SPIR	19.04	\$0.74 Bn	63.5	-72.9%
Satelloptic	SATL	7.84	\$1.16 Bn	20.4	-21.6%

ROCE = stockanalysis 'Current'/TTM column. PL is the clear scale leader (~3x the next pure peer's revenue) but the most richly valued.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Founder-led, mission-driven:** Co-founder & CEO Will Marshall (ex-NASA physicist) and co-founder Robbie Schingler (Chief Strategy Officer, ex-NASA) have run the company since 2010. President/COO Ashley Johnson is the long-tenured operating/finance lead and primary financial spokesperson — deep, stable bench credibility.
- **Capital allocation track record — improving but unproven on returns:** A decade of heavy R&D and fleet capex funded losses; ROIC/ROCE remain negative (-16% range). The FY2026 FCF turn is the first evidence capital is starting to compound. Capex stepped up to \$76.7M (FY26) to build Pelican/Tanager — front-loaded investment for the next growth leg.
- **Dividend policy:** None — no dividend; all capital reinvested. Appropriate for the growth stage.
- **Promoter pledging:** N/A (US issuer — no promoter-pledge concept). Control sits with founders via dual-class super-voting Class B shares.
- **ESOP / buybacks:** Stock-based compensation is high at ~\$55M (~18% of revenue) — a real economic cost and a persistent dilution source (shares +5.4% YoY). The company repurchased ~\$72.7M of stock in FY2026, partly to offset dilution; net it still issued more than it bought historically.
- **Governance watch-points:** (i) SPAC origin + dual-class control limit minority influence; (ii) large non-cash warrant/derivative remeasurement swings distort GAAP earnings; (iii) ~\$449M convertible notes raised in FY2026 add a new claim and conversion/dilution overhang; (iv) discontinuing customer-count disclosure from FY2027 reduces transparency.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures \$M unless noted. FY ends 31-Jan. Source: stockanalysis.com (03-Jun-2026). FY27E/FY28E are analyst estimates grounded in company guidance (\$415-440M FY27 revenue; Adj. EBITDA breakeven-to-\$10M).

Income Statement

\$M	FY2024	FY2025	FY2026	FY2027E	FY2028E
Revenue	220.7	244.4	307.7	428	555
Revenue growth %	15.4%	10.7%	25.9%	39%	30%
Gross Profit	113.0	139.7	172.5	212	283
Gross Margin %	51.2%	57.2%	56.1%	~50%	~51%
Operating Income (EBIT)	-169.8	-116.1	-95.1	-50	-25
EBITDA (GAAP)	-122.1	-70.5	-53.3	-12	+10
Adj. EBITDA (non-GAAP)	n/a	(loss)	+15.5	+5	+45
Net Income (GAAP)	-140.5	-123.2	-246.9	-40	-5
EPS (\$)	-0.50	-0.42	-0.80	-0.11	-0.01

FY2026 GAAP net loss includes a ~\$158M non-operating, largely non-cash charge (warrant/derivative remeasurement driven by the share-price surge) — operationally the year was the best in the company's history.

Balance Sheet

\$M	FY2024	FY2025	FY2026
Cash & ST Investments	298.9	222.1	640.1
Accounts Receivable	43.3	55.8	83.5
Total Current Assets	370.2	302.2	775.4
Net PP&E (incl. fleet)	135.8	141.5	165.2
Goodwill & Intangibles	183.7	182.8	191.6
Total Assets	702.0	633.8	1,146
Total Current Liabilities	136.7	142.1	469.5
Total Debt	24.9	21.6	462.5
Total Liabilities	184.0	192.5	957.3
Shareholders' Equity	518.0	441.3	188.4
Net Cash (Cash - Debt)	274.0	200.5	177.6

FY2026 jumps reflect a ~\$449M convertible-note raise (Total Debt) and large customer prepayments (unearned revenue +\$138M to \$220.6M inside current liabilities). Company remains net-cash \$177.6M.

Cash Flow

\$M	FY2024	FY2025	FY2026
Operating Cash Flow	-50.7	-14.4	134.4
Capital Expenditure	-38.0	-44.3	-76.7
Free Cash Flow	-88.7	-58.7	57.7
Investing Cash Flow	-33.6	57.9	-393.1
Financing Cash Flow	-1.6	-15.5	357.1
Net Change in Cash	-85.9	27.8	105.6
Stock-Based Comp	57.1	48.5	55.0

Returns & Ratios

	FY2024	FY2025	FY2026
ROE	-25.7%	-25.7%	-78.4%
ROIC	-44.5%	-27.9%	-16.1%
ROCE	-28.4%	-22.0%	-16.3%
Current Ratio	2.71	2.13	1.65

	FY2024	FY2025	FY2026
Debt / Equity	0.03	0.03	2.42
Asset Turnover	0.30	0.37	0.35

- **Revenue drivers:** Growth accelerated through FY2026 (Q1 +9.6% -> Q4 +41.0% YoY) as sovereign/defense deals (Germany, Sweden, JSAT) ramped. FY2027 guided to \$415-440M (+39% midpoint), a step-change driven by Satellite Services and AI-enabled solutions.
- **Margins:** Gross margin sits in the mid-50s% (56.1% FY26); guided to dip to 50-52% in FY27 as lower-margin Satellite Services (build-and-operate) scale. Operating leverage is the real story — EBIT loss narrowed from -\$170M (FY24) to -\$95M (FY26); Adj. EBITDA turned positive (+\$15.5M).
- **Working capital:** Receivables grew faster (+50% YoY) than revenue (+26%) — a watch item — but this is more than offset by a surge in customer prepayments (unearned revenue +\$138M), a hallmark of large sovereign contracts and a positive for cash.
- **Debt:** Moved from negligible debt to ~\$462M total debt via a ~\$449M convertible-note raise, yet remains net-cash +\$177.6M with \$640M liquidity. D/E optically jumped to 2.4x because equity shrank on accumulated losses — not a solvency concern given the cash pile, but the converts add dilution risk.
- **FCF quality:** FY2026 FCF +\$57.7M with OCF +\$134.4M — the first clean positive year. OCF is flattered by the unearned-revenue inflow; sustaining FCF as that normalizes, against ~\$77M+ capex for fleet build, is the key proof point for FY2027-28.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Rating	Comment
Revenue recognition	GREEN	Subscription/ratable model; 98% recurring ACV; large prepayments lower aggression risk.
Receivables vs revenue	AMBER	AR +50% YoY vs revenue +26% — DSO stretching as govt contracts grow; monitor collections.
Cash conversion (OCF/PAT)	GREEN	OCF +\$134M turned strongly positive; aided by unearned-revenue inflow.
Contingent liabilities / debt	AMBER	New ~\$449M convertible notes; conversion/dilution overhang though net-cash positive.
Other income / non-op items	RED	~\$158M non-op (warrant/derivative) charge distorts FY26 GAAP loss; large recurring MTM noise.
Stock-based compensation	AMBER	SBC ~\$55M (~18% of sales) inflates non-GAAP profit; persistent dilution.
Tax rate consistency	GREEN	Minimal/immaterial tax (loss-making); no aggressive tax engineering.
Disclosure quality	AMBER	Dropping customer-count reporting from FY2027 reduces transparency on the long tail.

- **RED — GAAP earnings are noisy:** The single most important quality flag is the ~\$158M non-operating warrant/derivative remeasurement that turned an operationally strong year into a \$247M GAAP loss. Investors must track Adj. EBITDA / FCF, not headline EPS — but be aware non-GAAP excludes a real ~\$55M SBC cost.
- **AMBER — receivables & converts:** Watch DSO (AR rising faster than sales) and the new convertible notes — both are manageable today (net-cash, prepayment-rich) but raise the stakes if growth slows.
- **AMBER — disclosure step-down:** Ending customer-count reporting just as the model pivots to a few large sovereign deals concentrates revenue and reduces the early-warning signals available to outside investors.
- **GREEN — cash & revenue base:** Recurring ACV (98%), genuine OCF/FCF generation and a \$640M liquidity cushion are high-quality positives that de-risk the balance sheet.

SECTION 8 — VALUATION

Peer comparison (stockanalysis.com, 03-Jun-2026; TTM). RKL B shown as an adjacent listed space comp, not a direct EO peer.

Company	CMP (\$)	Mkt Cap	P/S	P/B	EV/Sales	ROCE
Planet Labs (PL)	43.13	\$15.37 Bn	50.3x	85.6x	49.7x	-11.9%
BlackSky (BKS Y)	37.48	\$1.39 Bn	15.1x	20.0x	16.0x	-16.6%
Spire Global (SPIR)	19.04	\$0.74 Bn	11.9x	7.9x	11.3x	-72.9%
Satellogic (SATL)	7.84	\$1.16 Bn	57.7x	n/a	59.1x	-21.6%
Rocket Lab (RKL B)	114.70	\$66.4 Bn	98.3x	31.4x	96.4x	-10.2%

PL trades at a steep premium to BlackSky/Spire on every multiple despite comparable (negative) returns — the premium rests on scale, profitability inflection and sovereign backlog. SATL/RKL B optically richer on P/S due to tiny / launch-heavy revenue bases.

Scenario analysis (12-month)

Scenario	Key assumptions	FY27E Rev (\$M)	EV/Sales	Target (\$)
Bull	Top-of-guide \$440M; sovereign+AI deals compound; premium multiple holds.	440	42x	52
Base	Guidance midpoint met; multiple compresses toward growth-adjusted fair value.	428	28x	34
Bear	Low-end \$415M; govt-deal lumpiness + high-multiple unwind / risk-off.	415	12x	16

Targets = (EV/Sales x FY27E revenue + net cash \$0.18Bn) / 356.4M shares. Current 49.7x EV/Sales implies the bull case is close to already priced in.

- **DCF:** WACC ~14.4% (stockanalysis), terminal growth 3.5%, revenue CAGR ~28% FY27-31 tapering, FCF margin scaling toward ~18-20% — yields an implied equity value of roughly **\$30-32/share**. The model is highly sensitive: a 2pt WACC or 5pt terminal-margin change swings value >30%.
- **Multiple-based:** A still-generous 28x EV/Sales on FY27E revenue (\$428M) + net cash implies ~**\$34/share**; even this sits below the \$43 CMP, underscoring how much growth is discounted.
- **Blend & target:** Averaging DCF (~\$31) and the multiple approach (~\$34) gives a base-case 12-month target of **\$34** — ~21% downside from \$43.13, broadly in line with the 11-analyst consensus of \$35.50.
- **Horizon:** 12 months. The valuation gap, not the operating trajectory, drives the call.

SECTION 9 — KEY RISKS

- **Valuation / multiple de-rating** — At ~50x sales with consensus target below CMP, any disappointment compresses the multiple violently. Probability: H. Impact: H. Monitor via: EV/Sales vs growth, peer multiples, FY27 guidance revisions.
- **Sovereign-deal concentration & lumpiness** — Growth now hinges on a few large government contracts (Germany, Sweden, US); timing slips or non-renewal would dent the trajectory. Probability: M. Impact: H. Monitor via: RPO/backlog trend, new-award cadence, 12-month RPO conversion.
- **Government budget / appropriations risk** — Defense & intelligence demand is policy-dependent (NATO budgets, US appropriations). Probability: M. Impact: M-H. Monitor via: defense budget headlines, contract obligations vs funding.
- **Dilution & convertible overhang** — ~\$449M converts plus ~\$55M annual SBC steadily dilute; conversion at higher prices adds shares. Probability: M. Impact: M. Monitor via: diluted share count, conversion terms, SBC as % of sales.
- **FCF durability** — FY26 OCF was flattered by prepayment inflows; as unearned revenue normalizes against rising fleet capex, FCF could regress. Probability: M. Impact: M. Monitor via: OCF ex-working-capital, capex guidance (\$17-23M/qtr), unearned-revenue trend.
- **Competitive / price deflation** — Expanding smallsat supply (BlackSky, Satellogic, Maxar, ICEYE) pressures per-image pricing. Probability: M. Impact: M. Monitor via: pricing per ACV, gross-margin trend, win/loss on tasking deals.
- **Execution on next-gen fleet** — Pelican/Tanager ramp and in-space AI are unproven at scale; technical or launch delays defer the high-value revenue. Probability: M. Impact: M. Monitor via: launch cadence, operational satellite count, Tanager commercialization.

SECTION 10 — RECOMMENDATION

- **Rating: REDUCE** — Conviction: Medium. A high-quality business at a price that has outrun fundamentals.
- **12-month price target: \$34** (~21% downside from \$43.13 CMP) — in line with the 11-analyst consensus of \$35.50.
- **Suggested entry zone: \$22-28** — near the 200-DMA (~\$22.5); accumulate only on a meaningful pullback or sustained guidance beats.
- **Investment horizon:** 12 months (tactical); the long-term business case is genuinely attractive at the right price.
- **Thesis invalidation triggers (would make REDUCE wrong):**
 - 1. FY2027 revenue tracks above the \$440M top-of-guide with Adj. EBITDA at/above \$10M, justifying the premium.
 - 2. Two or more new nine-figure sovereign/defense awards lift backlog decisively above \$1.2B.
 - 3. Sustained positive FCF ex-prepayments (clean OCF) with EV/Sales compressing under ~25x on rising estimates.
- **Ideal investor profile:** Suits patient growth investors who can buy weakness and tolerate volatility; NOT for valuation-disciplined or momentum-chasing buyers at the current ~50x-sales level.

APPENDIX — Latest Concall Brief: Q4 & Full-Year FY2026

Earnings call dated 19-Mar-2026 (fiscal year ended 31-Jan-2026). Source: company release + transcript.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Record revenue +41% YoY in Q4; first profitable (Adj. EBITDA) year — beat.
Management tone	Bullish	Confident on sovereign demand & AI; raised FY27 guidance.
Guidance delta	Raised	FY27 revenue guided \$415-440M (+39%); Adj. EBITDA breakeven-to-\$10M.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Headline FY2026 is genuinely clean operationally but ugly on the surface: record revenue of \$307.7M (+26%) and Q4 +41%, yet a \$247M GAAP net loss. That loss is misleading — it carries a ~\$158M non-operating, largely non-cash warrant/derivative remeasurement charge triggered by the stock's own ~10x run; strip it out and this is the best operating year Planet has had. The real signals are the firsts: first full-year Adj. EBITDA profit (+\$15.5M), first positive FCF (+\$52.9M), OCF +\$134M, and cash/ST investments up 188% to \$640M. Structural drivers are sovereign defense (Germany EUR240M, Sweden nine-figure, JSAT \$230M) with RPO +106% to \$852M and backlog +79% to >\$900M, plus AI-enabled solutions and the Pelican/Tanager fleet as optionality. The near-term catalyst is FY27 execution — guidance was RAISED to \$415-440M (+39%) with Adj. EBITDA breakeven-to-\$10M, and Tanager hyperspectral goes operational this year. The single biggest watch-point is valuation, not operations: at ~50x sales the consensus price target (\$35.50) sits below the market price, and receivables are stretching faster than sales. Action: REDUCE / trim into strength; do not chase above ~\$40 — accumulate only toward the 200-DMA (\$22-28) where the risk/reward turns favourable.

1 — Financial Performance Snapshot (Q4 FY2026)

- Revenue: \$86.82M | YoY +41.0% | QoQ +6.9% | **Beat**
- Gross margin: 54.2% | YoY -7.9pts | QoQ -3.2pts | mix shift to Satellite Services
- EBITDA (GAAP): -\$25.8M | Adj. EBITDA positive for the full year (+\$15.5M) | In-line/Improving
- Operating Income (EBIT): -\$36.0M | operating loss narrowing YoY
- PAT (GAAP): -\$152.5M | EPS -\$0.48 | **Miss on headline (non-cash distortion)**
- NOTE: Reported Q4 net loss includes a ~\$118.3M non-operating, non-cash warrant/derivative remeasurement charge; clean operating loss (EBIT) ~\$36M.

2 — Segment / End-Market Breakdown (FY2026)

- Defense & Intelligence: +50% YoY | primary growth engine; Germany/Sweden/US sovereign wins
- Civil Government: ~flat YoY | German federal agency renewal; steady but not accelerating
- Commercial: down YoY | agriculture soft, partially offset by energy-sector wins
- Geography: decisive shift toward European sovereign demand (rearmament / data-sovereignty)

3 — Management Commentary Themes

- Sovereign Satellite Services: "three such deals in twelve months" (Germany EUR240M, Sweden, JSAT) — Our read: durable, high-visibility revenue. Tag: GUIDANCE. Tone: Transparent.

- AI inflection: "this year we expect to see the start of returns on our investments in AI" — Our read: optionality, monetization still early. Tag: EST. Tone: Hedged.
- Defense strength: D&I +50% YoY called "a major area of strength" — Our read: confirms mix shift to government. Tag: GUIDANCE. Tone: Transparent.
- Google SunCatcher / NVIDIA: in-space compute + "100x speedup on certain parts of our codebase" — Our read: R&D, not near-term revenue. Tag: EST. Tone: Transparent.
- Purpose framing: "security is inextricably linked to sustainability" — Our read: positions Planet across defense AND climate TAMs. Tag: EST. Tone: Transparent.

4 — Operating & Business Metrics

- Backlog: >\$900M | +79% YoY | Trend: improving strongly
- RPO: \$852.4M | +106% YoY | 34% due within 12 months | Trend: improving
- Recurring ACV: 98% of end-of-period ACV | Trend: stable-high
- Annual/multi-year contracts: ~85% of ACV book (down, as large short-term govt deals rise) | Trend: mix-shifting
- Satellites launched FY26: 40 (incl. 4 Pelican) | Trend: fleet expanding

5 — Margin Drivers

- Operating leverage on fixed fleet cost: +ve | Recurring: Yes | EBIT loss narrowing as revenue scales
- Satellite Services mix (build-and-operate): -ve to gross margin | Recurring: Yes | guided GM down to 50-52% in FY27
- AI/automation processing gains: +ve | Recurring: Yes | NVIDIA 100x speed-ups lower future processing cost
- Warrant/derivative remeasurement: non-operating | Recurring: No (non-cash) | excluded from Adj. EBITDA — do not extrapolate.

6 — Guidance & Forward Signals

- FY27 Revenue [GUIDANCE]: New \$415-440M | +39% at midpoint | Delta: Raised | Credibility: High (backed by RPO).
- Q1 FY27 Revenue [GUIDANCE]: \$87-91M | ~34% YoY at midpoint | Delta: New | Credibility: High.
- FY27 Adj. EBITDA [GUIDANCE]: breakeven to +\$10M | Delta: Improving | Credibility: Medium.
- Q1 FY27 Adj. EBITDA [GUIDANCE]: -\$6M to -\$3M | seasonal investment quarter | Credibility: Medium.
- FY27 non-GAAP gross margin [GUIDANCE]: 50-52% | Delta: down on mix | Credibility: High.

7 — Capital Allocation

- Capex: ~\$76.7M FY26 (vs \$44.3M FY25) | +73% | Pelican/Tanager fleet build; Q1 FY27 guided \$17-23M.
- Convertible notes: ~\$449M raised | new | funds growth + balance-sheet flexibility; net-cash retained.
- Buybacks: ~\$72.7M FY26 | up | partly offsets SBC dilution.
- Dividends: none | n/a | all capital reinvested.
- Net debt: net-CASH +\$177.6M | down from +\$200.5M | still comfortably funded (\$640M liquidity).

8 — Q&A Heat Map

- Cantor (Colin Canfield): Q: SunCatcher/NVIDIA timing? -> A: research partnerships, long-term potential | Tone: Transparent

- Needham (Ryan Koontz): Q: European demand drivers? -> A: geopolitics requires "speed and sovereignty" | Tone: Transparent
- Deutsche Bank (Edison Yu): Q: Anthropic/AI trajectory? -> A: real-world AI models will need satellite data | Tone: Transparent
- Morgan Stanley (C. Weg): Q: Middle East imagery delay impact? -> A: "nothing material" | Tone: Hedged
- Craig-Hallum (Jeff Van Rhee): Q: Civil/Commercial reacceleration? -> A: AI to unlock latent demand | Tone: Hedged
- Citizens (Trevor Walsh): Q: SHIELD IDIQ scope? -> A: "very early days" pending architecture | Tone: Hedged
- Dodged / watch-list for next quarter: hard numbers on AI revenue, Commercial recovery timing, SHIELD sizing.

9 — Risks Flagged

- Government-deal lumpiness: large sovereign contracts can slip/concentrate | Flagged by: analysts | Prob: M | Impact: H | near-medium term
- Commercial softness: agriculture weak, recovery AI-dependent | Flagged by: mgmt | Prob: M | Impact: M | medium term
- Geopolitical demand dependence: budgets tied to conflict/policy | Flagged by: analysts | Prob: M | Impact: M | ongoing
- AI monetization timing: returns 'starting' but unquantified | Flagged by: mgmt | Prob: M | Impact: M | medium term
- Execution on Pelican/Tanager ramp: technical/launch risk | Flagged by: mgmt | Prob: M | Impact: M | near-medium term

10 — Analyst Verdict

- Revenue visibility: **Intact** — RPO +106%, backlog >\$900M, 98% recurring ACV underpin FY27 guidance.
- Margin trajectory: **Intact** — Adj. EBITDA turned positive; operating leverage clear despite GM mix dip.
- Capital allocation quality: **Intact (watch)** — disciplined toward fleet/growth; converts add a new claim.
- Competitive moat: **Intact** — scale + daily archive + sovereign relationships hard to replicate.
- Management credibility: **Intact** — founder-led, guidance raised and backed by contracted backlog.
- Valuation comfort: **Weakened** — ~50x sales with consensus target below CMP; little margin of safety.
- Conviction call: **Unchanged** — **REDUCE/trim**; business strong, price ahead of itself.
- Valuation snapshot: P/E = n/a (loss) | EV/Sales = 49.7x (well above peers) | RoCE = -16.3% (FY26).

Disclaimer: For information only; not investment advice. All financial figures sourced from stockanalysis.com (fetched 03-Jun-2026); qualitative inputs from Planet Labs' Q4 FY2026 results (19-Mar-2026), earnings call and public releases. Forward estimates (E) are analyst judgements grounded in company guidance and may prove wrong. Fiscal year ends 31 January.